

AYEDOS SACCO LOAN POLICY

1. Scope

AYEDOS Savings and Credit Co-operative Society Limited, is registered in the register of co-operative societies, registration number CS/29903.

The registered office of the society is at 1st Floor Africa Reit House and the postal address shall be P.O BOX 43072-00100, Nairobi Kenya.

The SACCO was formed to organize and promote the welfare and economic interests of its members. In particular, the society shall undertake;

- a) To promote thrift among its members by affording them an opportunity for accumulating their savings and deposits and create thereby a source of funds from which loans can be given to them exclusively for provident and productive purposes, at fair and reasonable rates of interest; thereby enabling them to use and control their money for their mutual benefit.
- b) To ensure personal growth through the introduction of new products and services that will promote the economic base of the members.
- c) To ensure progress of members and society through continuous education programs on proper use of credit, reduction of poverty, human dignity and co- operation.
- d) To apply the co-operative principle of co-operation among co-operatives in order to promote members' interests. In furtherance to the objects the society shall affiliate to the relevant National Co-operative Union and the Apex society.

2. Guiding principles

- The SACCO may acquire property and chattels for the enhancement of its members interests provided such act is approved by the members in a general meeting.
- AYEDOS SACCO will promote thrift to ensure economic wellbeing of its members by adherence to the terms and conditions below which will be agreed upon by the members in reference to the by-laws of the SACCO.
- All loans shall be approved is in accordance with these by-laws and is not on terms more favorable than those extended to other borrowers.
- All loans must be approved by the Credit committee and thereafter by the Committee.
- No loan applicant will take no part in the consideration of his application at either the Credit or Committee Meeting.

- No loan shall be made to any member in excess of 5% of the society's total share capital and reserves.

3. Loan terms and conditions

3.1 Eligibility

Members shall be eligible to apply and get loans if;

- They have fully paid the membership fee
- Have been members of the SACCO for at least 6 months
- Their application is approved by the credit committee

3.2 Type of loan

AYEDOS SACCO will provide the following loan products to its members;

- Emergency loan: The emergency loan will cater for unexpected financial needs
- Education loan: Aimed at providing financial resources to pay for school fees at basic and tertiary level for the members and dependants
- Welfare loan: Provide capital to improve wellbeing and welfare required for ceremonies, health insurance, last expense
- Development loan: Provide capital to investment to build wealth and business

A member can borrow more than one loan product at the same time as long as they are able to finance the loan repayment.

Members shall determine through a General Meeting on recommendation by the Committee the following factors associated with the loans above;

- Eligibility
- Processing time and fee
- Interest rate
- Repayment period
- Maximum amount
- Multiplier of the loan depending on savings

3.3 Loan process

All loans to members shall be;

- Applied: All members shall fill out a loan application as provided by annex 1.
- Reviewed: Loan applications shall be recommended by the credit committee and approved by the management committee.
- No applicant shall take part in the consideration of his application at either the Credit or Committee Meeting.
- Approved/Declined: The management shall approve loans presented by the credit committee depending on credit limit and resource availability in accordance with section 68 of the by-laws.
- Disbursed: Loans shall be disbursed to the beneficiary account depending on the loan product
- Recorded: All loans shall be recorded in the loan register as described in annex 2

- Reported: All loans shall be presented in the management committee meetings and the Credit Committee shall present a list of loans recommended for approval.

3.4 Loan repayment

- All loans granted shall be repaid as determined by the loan product in accordance to section 70 of the by-laws.
- Loan repayment shall commence the next calendar month after loan disbursement.
- All loans are to repaid through monthly deductions from the employee net pay.
- Members are allowed to repay their loans using other sources of funds other than the payslip. However, the other sources will not be considered in determination of the credit limit for the member.
- Members who have more than one loan must ensure the aggregate loan repayment deductible from the employee net pay shall not exceed 30% of their net pay.

3.5 Loan security

The credit committee will conduct risk analysis for loan applications to determine credit worthiness of the member. All loans will be secured against loss in accordance to section 69 of the by-laws.

3.6 Loan allocation

Loan will be granted on first come, first served basis. If available funds are not enough to meet all the loan needs, loan will be preferentially given to;

- Members who have not received loans before
- Members who have completed payment of share capital

3.7 Refinancing

Loan refinancing shall be permissible in accordance to section 71 of the by-laws. Refinancing will be applicable depending on the loan product.

3.8 Loan recovery

- The management committee will ensure all loans advanced to members are paid as per the terms agreed for each loan product.
- Section 72 of the by-laws shall be the guiding document for loan recovery as well as assessment of loan performance.
- Member deposits and share capital shall be used for repayment should a member desire to exit the SACCO or in case of death of a member.
- Loan obligation unpaid by members who lose the common bond or leave the SACCO, the payment obligations shall be paid by the guarantors.

3.9 Total Loan limit

The aggregate loans to members shall not exceed 80% of the total cash reserve by the SACCO.

4. Loan products

	Factor	Loan product			
		Emergency loan	Education loan	Welfare loan	Development loan
1	Eligibility	All members	100% share capital paid	100% share capital paid	100% share capital paid
2	Maximum amount	50,000.00	100,000.00	100,000.00	250,000.00
3	Loan multiplier (* member total savings)	Not applicable: Total amount of your Saving	3	3	4
4	Interest on loan per month	1%	1%	1.5%	2%
5	Processing fee (% of principal loan amount)	0%	0.5%	1%	1%
6	Processing time (days)	24hrs after application	10 days after application	10 days after application	1 months after application
7	Refinancing of loan	Not allowed			
8	Maximum repayment period	1 year	1 year	2 years	6 years
9	Waiting period	3 months membership	6 months membership	6 months membership	1 year membership
10	Disbursement of loan	Into individual account	Into school account	Into individual account	Into individual account
11	Penalty for late payment (% of monthly installment)	1%	2%	3%	4%
12	Guarantors	Not required	2	2	3

5. Conclusion

- SACCO loans aim at leverage pooled resources to promote thrift among the members.
- Member aggregate loan deduction for loan repayment, monthly savings and share capital shall not exceed 25% of employee net pay.
- Employee can borrow multiple loan products if the monthly deduction from their net pay is within the deduction threshold.